COURT FILE NUMBER	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	CLEO ENERGY CORP.
	IN THE MATTER OF THE RECEIVERSHIP OF CLEO ENERGY CORP.
DOCUMENT	**SUPPLEMENT TO THE SECOND REPORT OF ALVAREZ & MARSAL CANADA INC., IN ITS CAPACITY AS RECEIVER AND MANAGER OF CLEO ENERGY CORP.**
	November 12, 2025

Clerk's Stamp

JUDICIAL CENTRE OF CALGARY
FILED DIGITALLY
2501 09028
Nov 12, 2025
10:10 AM
CLERK OF THE COURT

ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT

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ALVAREZ & MARSAL

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INTRODUCTION

1. On June 2, 2025, the Court of King's Bench of Alberta (the "**Court**") granted a receivership order (the "**Receivership Order**"), whereby, effective June 3, 2025 (the "**Receivership Date**"), Alvarez & Marsal Canada Inc. ("**A&M**") was appointed receiver and manager (the "**Receiver**"), without security, of all the current and future assets, undertakings and properties of every nature and kind whatsoever, and wherever situate, including all proceeds thereof (collectively, the "**Property**") of CLEO Energy Corp. ("**Cleo**" or the "**Company**"), pursuant to section 243(1) of the *Bankruptcy and Insolvency Act*, RSC 1985, c B-3 (the "**BIA**") and section 13(2) of the *Judicature Act*, RSA 2000 c J-2 (the "**Receivership Proceedings**").

2. On November 5, 2025, the Receiver filed its Second Report to the Court (the "**Second Report**") in support of its Application scheduled for November 14, 2025 (the "**November 14th Application**"), that provided, among other things:

    a) a brief summary of the Reasons for Decision regarding the proposed RVO and the potential clawback of Wage Earner Protection Program payments;

    b) a summary of the proposed reverse vesting transaction contemplated in the Share Purchase Agreement (the "**SPA**") between Cleo and 2698902 Alberta Corporation ("**269**" or the "**Purchaser**") dated October 6, 2025 (the "**Transaction**"); and

    c) the Receiver's recommendation on the SPA and the revised reverse vesting order ("**Revised RVO**").

3. On November 7, 2025, the Department of Justice Canada ("**DoJ**") filed an application on behalf of the Minister of National Revenue (the "**Crown**"), as represented by the Canada Revenue Agency ("**CRA**"), without notice to the Receiver (the "**DoJ Application**"). The remedy sought under the DoJ Application is an order:

a) requiring the Receiver to pay the Receiver General for Canada, from the proceeds of Cleo's assets, the amount of $899,907.51 in satisfaction of pre-receivership unpaid GST, which is subject to a GST deemed trust. The Crown alleges it has a total claim of $1,355,296.64 in unpaid GST, of which $899,907.51 is subject to the GST deemed trust (the "**GST Deemed Trust**"); and

b) allocating the Priority Payments[1] amongst the various assets comprising the Property.

4. This is the Receiver's supplement to the Second Report (this "**Supplemental Report**"). Capitalized words or terms not otherwise defined in this Report shall have the meaning ascribed in the Receivership Order or such other materials filed by the Receiver in these Receivership Proceedings or the Proposal Trustee and the Company in the NOI Proceedings.

5. This Supplemental Report is being provided to the Court for the limited purpose of addressing the following:

a) the priority of the GST Deemed Trust and the CRA's request for payment of the GST Deemed Trust in the context of these Receivership Proceedings; and

b) the CRA's request for an allocation of the Priority Payments among the various assets comprising the Property.

[1] Priority Payments total $1,295,425 and are comprised of the following: (i) $1,078,907 to uCapital, in repayment of all amounts borrowed under the Interim Financing Facility in the NOI Proceedings (ii) $101,474 to the Company's counsel, in full satisfaction of the amounts secured by the Administration Charge; (iii) $25,968 to the Proposal Trustee's counsel, in full satisfaction of the amounts secured by the Administration Charge; and (iv) $89,076 to the Proposal Trustee, in full satisfaction of the amounts secured by the Administration Charge.

TERMS OF REFERENCE

6. In preparing this Supplemental Report, the Receiver has relied upon: (i) the representations of certain former management and other key stakeholders of the Company; (ii) financial and other information contained in the Company's books and records, which were produced and maintained principally by the Company; and (iii) information obtained by the Proposal Trustee prior to the Receivership Proceedings.

7. The Receiver has not performed an audit, review or otherwise attempted to verify the accuracy or completeness of the Company's financial information that would wholly or partially comply with Canadian Auditing Standards ("**CASs**") pursuant to the *Chartered Professional Accountants Canada Handbook*, and accordingly, the Receiver expresses no opinion or other form of assurance contemplated under CASs in respect of the financial information.

8. All references to dollars are in Canadian currency unless otherwise noted.

GST DEEMED TRUST

DoJ's Position on the GST Deemed Trust

9. The DoJ has taken the position that the CRA has priority to the proceeds from the sale of Cleo's assets in respect of the GST Deemed Trust, and that, pursuant to subsection 222(3) of the *Excise Tax Act*, this priority is equivalent to that of the payroll deemed trust in the amount of $70,346.84 (the "**Payroll Deemed Trust**"). On that basis, the DoJ asserts that the CRA is entitled to payment of the GST Deemed Trust from the sale proceeds, prior to the transfer of any funds to ResidualCo upon closing of the proposed Transaction.

10. The DoJ and the CRA have not sought to lift the stay of proceedings that is in place over the property of Cleo pursuant to paragraphs 8 and 9 of the Receivership Order with respect to the DoJ Application.

Receiver's Review of Deemed Trust Priorities

11. The Receiver reviewed the Payroll Deemed Trust and determined that it ranked in priority to other creditors. As such, the Receiver paid the Payroll Deemed Trust on September 17, 2025.

12. The Receiver has not completed a security review or obtained a priority opinion in respect of the alleged GST Deemed Trust. The Receiver is of the view that payment of the GST Deemed Trust, at this time, may prejudice other creditors, including those who may wish to seek a bankruptcy order to determine the appropriate ranking of creditor claims under BIA. In addition, the Receiver has been unable to confirm the validity and quantum of the alleged GST Deemed Trust and requires additional time to compare this claim to the Company's books and records.

13. The Receiver and its counsel have consulted with certain other creditors and their respective counsel, including parties holding statutory priority claims (such as other Crown stakeholders), and the Receiver is advised that they are not supportive of the DoJ Application. A letter from external legal counsel for Paintearth County, Flagstaff County, the M.D. of Wainwright, and Vulcan County (collectively, the "**Municipalities**") opposing the DoJ Application is attached to this Report as Appendix "**A**".

14. In the letter, the Municipalities requested that the Receiver bring a bankruptcy application. The Receiver requires additional time to consider this request and to consult with stakeholders. Any hearing relating to distributions or matters that impact priorities should proceed on full notice to the service list. The Receiver therefore proposes that the proposed Transaction be approved and permitted to close, with stakeholder distribution applications to be addressed in a future application before the Court.

15. Following further stakeholder consultation, the Receiver intends to seek a subsequent order authorizing it to either conduct a claims process or bring the bankruptcy application requested by the Municipalities. This will follow further

analysis of the merits of such an application to determine the quantum and respective priorities of any creditors who may have a claim with respect to the Purchase Price Funds[2] and the ResidualCo Funds[3] (collectively, the "**Remaining Funds**").

16. To be clear, no distributions are contemplated prior to the completion of a Court-approved claims process and the granting of a distribution order.

DoJ Input on Revised RVO

17. The Receiver understands the DoJ is not opposing the proposed Transaction, the Revised RVO or any of the relief sought by the Receiver.

18. The Receiver, through its legal counsel, previously negotiated and incorporated additional language into paragraph 10(a) of the Revised RVO, clarifying that all proceeds of sale from Cleo's prior transactions and the proposed Transaction will transfer to ResidualCo subject to the rights, priorities, and claims, including deemed trust claims, that existed as against the Company. This language was specifically included in the Revised RVO at the request of the DoJ to preserve any deemed trust claims the CRA may have in respect of sale proceeds realized from Cleo's assets.

19. The language proposed in the Revised RVO ensures that the GST Deemed Trust continues to attach to the Excluded Assets vested in ResidualCo following the closing of the proposed Transaction. This structure allows the Receiver to complete the proposed Transaction while preserving the CRA's (or any other creditors) asserted priority position in respect of the GST Deemed Trust, pending the outcome of a Court-approved claims process. The Receiver respectfully believes this will preserve all creditor and stakeholder rights and is a fair, balanced and equitable

[2] The Purchase Price contemplated in the SPA, included as Confidential Appendix "C" to the First Report.

[3] The cash on hand to be transferred from Cleo to ResidualCo upon closing of the Transaction. Excludes the Purchase Price Funds.

approach in addressing the distribution of funds from the Receivership Proceedings.

20. For the reasons set out above, the Receiver does not support the DoJ Application to pay the GST Deemed Trust from the sale proceeds and the Receiver is of the view the DoJ Application is stayed by the Receivership Order.

PROPOSED ALLOCATION OF PRIORITY PAYMENTS

DoJ's Position on the Priority Payments

21. The DoJ has taken the position that the Receiver's election to make Priority Payments from the Sale Proceeds[4], rather than exhausting the Other Proceeds[5] and the Purchase Proceeds[6] limits the amount available to satisfy the GST Deemed Trust, while increasing the amount that will be available to transfer to ResidualCo for the benefit of the unsecured creditors. On that basis, the DoJ is requesting that this Court allocate the Priority Payments to be made first from the Other Proceeds, the Purchase Proceeds and then from the Sale Proceeds.

Receiver's Use of Sales Proceeds and Other Proceeds

22. Pursuant to the Rise and Nuova Sale Approval and Vesting Orders granted by the Court on June 2, 2025 (the "**June 2025 SAVOs**"), the Receiver is permitted to make distributions of the following amounts from the Sales Proceeds:

    a) amounts owing under the Administration Charge granted in the NOI Proceedings, which covered the fees of the Proposal Trustee, the Proposal Trustee's counsel (Miller Thomson), and the Company's

[4] Sale Proceeds total $2,139,830 and are comprised of proceeds from completed transactions to Nuova Strada Ventures Ltd. ("**Nuova**") and Rise Energy SPV Ltd. ("**Rise**"), which were approved by this Honourable Court on June 2, 2025.

[5] Other Proceeds total $1,400,816 and are comprised of oil and gas revenue of $1,356,199 and other revenue of $44,617.

[6] The Purchase Price contemplated in the SPA, included as Confidential Appendix "C" to the First Report.

counsel (Gowling WLG (Canada) LLP), up to a maximum of $700,000; and

b) amounts borrowed by Cleo under the Interim Lender's Charge granted in the NOI Proceedings, up to a maximum of $1,000,000, together with any accrued interest or costs and expenses incurred thereunder.

23. The Priority Payments made by the Receiver from the proceeds of sale of Cleo's assets, were made pursuant to the express terms of the June 2025 SAVOs, which were granted on notice to, and in the presence of, the DoJ. Copies of the Rise and Nuova Sale Approval and Vesting Orders are attached to this Report as Appendix "**B**" and Appendix "**C**", respectively.

24. Throughout the Receivership Proceedings and as reported in the Receiver's First Report and Second Report, the Receiver has used the Other Proceeds and a portion of the remaining Sales Proceeds, which form part of Cleo's estate, to pay Cleo's operating and non-operating costs totalling approximately $1.7 million, comprised of the following:

a) operating costs of approximately $810,000 and non-operating costs, including the professional fees of the Receiver and its counsel, of approximately $562,000, which were approved pursuant to the Ancillary Relief Order granted at the October 17th Application; and

b) operating costs of approximately $161,000 and non-operating costs of approximately $202,000, comprised of the professional fees of the Receiver and its counsel, for which the Receiver is seeking approval at the November 14th Application, and which the DoJ has not opposed in the DoJ Application.

25. It is the Receiver's view that its use of the Sale Proceeds and Other Proceeds was carried out in accordance with Orders granted by this Honourable Court, or was subsequently approved by the Court. As such, the Receiver does not support the DoJ's request to reallocate the Priority Payments.

All of which is respectfully submitted this 12th day of November, 2025.

ALVAREZ & MARSAL CANADA INC.,
in its capacity as the Court-appointed Receiver of
CLEO Energy Corp. and not its
personal or corporate capacity





Orest Konowalchuk, CPA, CA, CIRP, LIT
Senior Vice President

David Williams, CPA, CIRP, LIT
Vice President

APPENDIX A

BROWNLEE LLP
Barristers & Solicitors

2200 Commerce Place
10155 – 102 Street NW
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tel. 780.497.4800
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Refer to: G. G. Plester
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Our File No.: 71109-0222

November 10, 2025

VIA EMAIL: jwreid@millerthomson.com

Miller Thomson
525-8th Avenue SW., 3rd Floor
Eighth Avenue Place East
Calgary, AB T2P 1G1

Attention: James Reid

RE: Receivership of Cleo Energy Corp. ("Cleo") | Court File No. 2501-09028

We are legal counsel for Paintearth County, Flagstaff County, the M.D. of Wainwright, and Vulcan County (the "Municipalities") with respect to the above-noted matter, and are writing in relation to the application by the Canada Revenue Agency ("CRA") returnable November 14, 2025.

The CRA is seeking an order which, if granted by the Court of King's Bench, would require the Receiver to pay the sum of $899,907.51 to the CRA, in satisfaction of Cleo's unremitted GST amounts. If this amount were paid to the CRA, we understand that would effectively reduce the proceeds of sale available in the receivership to nil, and leave all secured creditors, including the Municipalities, with essentially no prospect of recovery.

For reference, the amounts owing by Cleo to each Municipality for outstanding taxes are as follows:

- Vulcan County - $93,554.28, current to November 2025
- M.D. of Wainwright - $1,920,415.75, current to January 2025
- Flagstaff County - $493,385.57, current to November 2025
- Paintearth County - $388,248.17, current to November 2025

The Municipalities observe, and the CRA has admitted in their application materials, that their claim constitutes a statutory deemed trust pursuant to the *Excise Tax Act.* Pursuant to section 67 of the *Bankruptcy and Insolvency Act,* such deemed trusts are treated only as an ordinary unsecured claim in a bankruptcy context. The CRA's request for relief, accordingly, hinges entirely on the fact that Cleo has not yet been declared a bankrupt.

In light of the above, the Municipalities oppose the CRA's application, and respectfully request that the Receiver apply to the Court of King's Bench for authorization to immediately assign Cleo into bankruptcy.

In support of this request, the Municipalities note that Cleo's receivership has, since its commencement earlier this year, been treated as a liquidation. Since the NOI process was converted to a receivership, there has been essentially no prospect of a successful proposal. Accordingly, in the Municipalities' view, it would be contrary to the spirit and intent of the legislative scheme to allow the CRA's application to proceed unhindered. In essence, the CRA is seeking a distribution in a manner that would be contrary the scheme of priorities established by the *Bankruptcy and Insolvency Act.*

Please confirm whether the Receiver would be amenable to the above. If so, the Municipalities will support the Receiver in its application for authorization to assign Cleo into bankruptcy.

Yours truly,

BROWNLEE LLP
PER:



Gregory G. Plester
CJA/jcm

APPENDIX B

FILED
by Email
Jun 05,2025
Calgary
BANKRUPTCY AND INSOLVENCY
FAILLITE ET INSOLVABILITE

COURT FILE NO.	B301-163430
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE *BANKRUPTCY AND INSOLVENCY ACT*, RSC 1985, C B-3, AS AMENDED AND IN THE MATTER OF THE NOTICE OF INTENTION TO MAKE A PROPOSAL OF CLEO ENERGY CORP.
APPLICANT	CLEO ENERGY CORP.
DOCUMENT	**ORDER (Sale Approval and Vesting – Rise Energy SVP Ltd.)**
ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	**Gowling WLG (Canada) LLP** 1600, 421 – 7th Avenue SW Calgary, AB T2P 4K9 Attn: **Sam Gabor / Tom Cumming** Phone: 403.298.1946 / 403.298.1938 Fax: 403.263.9193 Email: sam.gabor@gowlingwlg.com / tom.cumming@gowlingwlg.com File No.: G10010664

DATE ON WHICH ORDER WAS PRONOUNCED:	June 2, 2025
LOCATION WHERE ORDER WAS PRONOUNCED:	Edmonton, Alberta
JUSTICE WHO MADE THIS ORDER:	The Honourable Justice Burns in Commercial Chambers

UPON THE APPLICATION of Cleo Energy Corp. ("**Cleo**") filed May 26, 2025 for an order approving the sale transaction (the "**Transaction**") contemplated by a purchase and sale agreement dated as of May 26, 2025, (the "**Sale Agreement**") between Cleo and Rise Energy SPV Ltd. (the "**Purchaser**") and vesting all of Cleo's right, title and interest in and to the assets described in the Sale Agreement (the "**Purchased Assets**");

AND UPON having read the Affidavit of Chris Lewis sworn May 26, 2025 (the "**Affidavit**"), the Affidavit of Service of Kym Mesley, sworn June 2, 2025, and the Sixth Report of Alvarez & Marsal Canada Inc. ("**A&M**") in its capacity as proposal trustee of Cleo (in such capacity, the "**Proposal Trustee**", and in its capacity as receiver of the undertaking, property and assets of Cleo, the "**Receiver**") dated May 28, 2025 and the confidential appendices thereto; **AND UPON** hearing submissions by counsel for Cleo, the Proposal Trustee, counsel for the Proposal Trustee and any other counsel or other interested parties present,

IT IS HEREBY ORDERED AND DECLARED THAT:

SERVICE

1. Service of notice of this application and supporting materials is hereby declared to be good and sufficient, no other person is required to have been served with notice of this application and time for service of this application is abridged to that actually given.

APPROVAL OF TRANSACTION

2. The Transaction is deemed a Successful Bid pursuant to the Order (Sales Process) of the Honourable Justice Neilsen dated January 22, 2025 in these proceedings.

3. The Transaction is hereby approved and the execution of the Sale Agreement by Cleo is hereby authorized and approved, with such minor amendments as Cleo may deem necessary. Cleo is hereby authorized and directed to take such additional steps and execute such additional documents as may be necessary or desirable for completion of the Transaction and conveyance of the Purchased Assets to the Purchaser.

EVENT OF TERMINATION OF TRANSACTION

4. If the Transaction and Sale Agreement are terminated, then the Receiver is authorized and directed to file the certificate substantially in the form set out in **Schedule "A"** hereto (the "**Fire Creek Termination Certificate**") and serve the service list in this proceeding with the Fire Creek Termination Certificate.

5. Upon the Fire Creek Termination Certificate being filed by the Receiver with the Court, this Order shall be of no force and effect.

VESTING OF PROPERTY

6. Subject only to approval by the Alberta Energy Regulator ("**Energy Regulator**") of transfer of any applicable licenses, permits and approvals pursuant to section 24 of the *Oil and Gas Conservation Act* (Alberta) and section 18 of the *Pipeline Act* (Alberta), upon delivery by the Receiver of the closing certificate to the Purchaser substantially in the form set out in **Schedule "B"** hereto (the "**Closing Certificate**"), all of Cleo's right, title and interest in and to the Purchased Assets listed in **Schedule "C"** hereto shall vest absolutely in the name of the Purchaser, free and clear of and from any and all caveats, security interests, hypothecs, pledges, mortgages, liens, trusts or deemed trusts, reservations of ownership, royalties, options, rights of pre-emption, privileges, interests, assignments, actions, judgements, executions, levies, taxes, writs of enforcement, charges, or other claims, whether contractual, statutory, financial, monetary or otherwise, whether or not they have attached or been perfected, registered or filed

and whether secured, unsecured or otherwise (collectively, "**Claims**") including, without limiting the generality of the foregoing:

(a) the Administration Charge ("**Administration Charge**"), Interim Lender's Charge ("**Interim Lender's Charge**") and D&O Charge created pursuant to, and having the meanings given to them in, the Order (Stay Extension, Administration Charge, Interim Financing, Interim Financing Charge, D&O Charge and Other Relief) of the Honourable Justice M.J. Lema in these proceedings pronounced January 6, 2025, as amended by his Order (Stay Extension, Interim Financing, Interim Financing Charge and Other Relief) pronounced February 19, 2025;

(b) any charges, security interests or claims evidenced by registrations pursuant to the *Personal Property Security Act* (Alberta) or any other personal property registry system;

(c) any liens or claims of lien under the *Builders' Lien Act* (Alberta); and

(d) those Claims listed in **Schedule "D"** hereto (all of which are collectively referred to as the "**Encumbrances**", which term shall not include the permitted encumbrances, caveats, interests, easements, and restrictive covenants listed in **Schedule "E"** (collectively, "**Permitted Encumbrances**"))

and for greater certainty, this Court orders that all Claims including Encumbrances other than Permitted Encumbrances, affecting or relating to the Purchased Assets are hereby expunged, discharged and terminated as against the Purchased Assets.

7. Upon delivery of the Closing Certificate, and upon filing of a certified copy of this Order, together with any applicable registration fees, all governmental authorities and or regulatory bodies including those referred to below in this paragraph (collectively, "**Governmental Authorities**") are hereby authorized, requested and directed to accept delivery of the Closing Certificate and certified copy of this Order as though they were originals and to register such transfers, interest authorizations, discharges and discharge statements of conveyance as may be required to convey to the Purchaser clear title to the Purchased Assets subject only to Permitted Encumbrances. Without limiting the foregoing:

(a) Alberta Energy ("**Energy Ministry**") shall and is hereby authorized, requested and directed to forthwith:

(i) cancel and discharge those Claims including builders' liens, security notices, assignments under section 426 (formerly section 177) of the *Bank Act* (Canada) and other Encumbrances (but excluding Permitted Encumbrances) registered (whether before or

after the date of this Order) against the estate or interest of Cleo in and to any of the Purchased Assets located in the Province of Alberta; and

(ii) transfer all Crown leases listed in Schedule "C" to this Order standing in the name of Cleo to the Purchaser free and clear of all Claims including Encumbrances but excluding Permitted Encumbrances;

(b) the Registrar of the Alberta Personal Property Registry (the "**PPR Registrar**") shall and is hereby directed to forthwith cancel and discharge any registrations at the Alberta Personal Property Registry (whether made before or after the date of this Order) claiming security interests (other than Permitted Encumbrances) in the estate or interest of Cleo in any of the Purchased Assets which are of a kind prescribed by applicable regulations as serial-number goods.

8. In order to effect the transfers and discharges described above, this Court directs each of the Governmental Authorities to take such steps as are necessary to give effect to the terms of this Order and the Sale Agreement. Presentment of this Order and the Closing Certificate shall be the sole and sufficient authority for the Governmental Authorities to make and register transfers of title or interest and cancel and discharge registrations against any of the Purchased Assets of any Claims including Encumbrances but excluding Permitted Encumbrances.

9. No authorization, approval or other action by and no notice to or filing with any Governmental Authority exercising jurisdiction over the Purchased Assets is required for the due execution, delivery and performance of the Sale Agreement, other than any required approval by the Energy Regulator referenced in paragraph 3 above.

10. For the purposes of determining the nature and priority of Claims, net proceeds from sale of the Purchased Assets (to be held in an interest bearing trust account by the Proposal Trustee or the Receiver) shall stand in the place and stead of the Purchased Assets from and after delivery of the Closing Certificate and all Claims including Encumbrances (but excluding Permitted Encumbrances) shall not attach to, encumber or otherwise form a charge, security interest, lien, or other Claim against the Purchased Assets and may be asserted against the net proceeds from sale of the Purchased Assets with the same priority as they had with respect to the Purchased Assets immediately prior to the sale, as if the Purchased Assets had not been sold and remained in the possession or control of the person having that possession or control immediately prior to the sale. Unless otherwise ordered (whether before or after the date of this Order), the Proposal Trustee or the Receiver shall not make any distributions to creditors of net proceeds from sale of the Purchased Assets without further order of this Court, provided however the Proposal Trustee or the Receiver may apply any part of such net proceeds to pay amounts owing as secured by the Administration Charge and repay any amounts Cleo has borrowed as secured by the Interim Lender's Charge.

11. Except as expressly provided for by section 5 of the *Alberta Employment Standards Code*, the Purchaser shall not, by completion of the Transaction, have liability of any kind whatsoever in respect of any Claims against Cleo.

12. Upon completion of the Transaction, Cleo and all persons who claim by, through or under Cleo in respect of the Purchased Assets, and all persons or entities having any Claims of any kind whatsoever in respect of the Purchased Assets, save and except for persons entitled to the benefit of the Permitted Encumbrances, shall stand absolutely and forever barred, estopped and foreclosed from and permanently enjoined from pursuing, asserting or claiming any and all right, title, estate, interest, royalty, rental, equity of redemption or other Claim whatsoever in respect of or to the Purchased Assets, and to the extent that any such persons or entities remain in the possession or control of any of the Purchased Assets, or any artifacts, certificates, instruments or other *indicia* of title representing or evidencing any right, title, estate, or interest in and to the Purchased Assets, they shall forthwith deliver possession thereof to the Purchaser.

13. The Purchaser shall be entitled to enter into and upon, hold and enjoy the Purchased Assets for its own use and benefit without any interference of or by Cleo, or any person claiming by, through or against Cleo.

14. Immediately upon closing of the Transaction, holders of Permitted Encumbrances shall have no claim whatsoever against Cleo.

MISCELLANEOUS MATTERS

15. Notwithstanding:

(a) the pendency of these proceedings and any declaration of insolvency made herein;

(b) the pendency of any applications for a bankruptcy order now or hereafter issued pursuant to the *Bankruptcy and Insolvency Act*, R.S.C. 1985, c.B-3, as amended (the "***BIA***"), in respect of Cleo, and any bankruptcy order issued pursuant to any such applications;

(c) any assignment in bankruptcy made in respect of Cleo; and

(d) the provisions of any federal or provincial statute:

the vesting of the Purchased Assets in the Purchaser pursuant to this Order shall be binding on any trustee in bankruptcy that may be appointed in respect of Cleo and shall not be void or voidable by creditors of Cleo, nor shall it constitute nor be deemed to be a transfer at undervalue, settlement, fraudulent preference, assignment, fraudulent conveyance, or other reviewable transaction under the *BIA* or any other applicable

federal or provincial legislation, nor shall it constitute oppressive or unfairly prejudicial conduct pursuant to any applicable federal or provincial legislation.

16. Cleo, the Proposal Trustee, the Receiver, the Purchaser and any other interested party, shall be at liberty to apply for further advice, assistance and direction as may be necessary in order to give full force and effect to the terms of this Order and to assist and aid the parties in closing the Transaction.

17. This Honourable Court hereby requests the aid and recognition of any court, tribunal, regulatory or administrative body having jurisdiction in Canada or in any of its provinces or territories or in any foreign jurisdiction, to act in aid of and to be complimentary to this Court in carrying out the terms of this Order, to give effect to this Order and to assist the Proposal Trustee and its agents in carrying out the terms of this Order. All courts, tribunals, regulatory and administrative bodies are hereby respectfully requested to make such order and to provide such assistance to the Proposal Trustee and the Receiver, as an officer of the Court, as may be necessary or desirable to give effect to this Order or to assist the Proposal Trustee and its agents in carrying out the terms of this Order.

GENERAL

18. Service of this Order may be effected by facsimile, electronic mail, personal delivery or courier to the service list (the "**Service List**") in the proceedings. Service is deemed to be effected the next business day following transmission or delivery of this Order.

19. This Order shall be posted on the Proposal Trustee's website for these proceedings at: https://www.alvarezandmarsal.com/CLEO.

J.C.K.B.A.

APPENDIX C



COURT FILE NO.	B301-163430
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE *BANKRUPTCY AND INSOLVENCY ACT*, RSC 1985, C B-3, AS AMENDED AND IN THE MATTER OF THE NOTICE OF INTENTION TO MAKE A PROPOSAL OF CLEO ENERGY CORP.
APPLICANT	CLEO ENERGY CORP.
DOCUMENT	**ORDER (Sale Approval and Vesting – Nuova Strada Ventures Ltd.)**
ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	**Gowling WLG (Canada) LLP** 1600, 421 – 7th Avenue SW Calgary, AB T2P 4K9 Attn: **Sam Gabor / Tom Cumming** Phone: 403.298.1946 / 403.298.1938 Fax: 403.263.9193 Email: sam.gabor@gowlingwlg.com / tom.cumming@gowlingwlg.com File No.: G10010664

DATE ON WHICH ORDER WAS PRONOUNCED:	June 2, 2025
LOCATION WHERE ORDER WAS PRONOUNCED:	Edmonton, Alberta
JUSTICE WHO MADE THIS ORDER:	The Honourable Justice Burns in Commercial Chambers

UPON THE APPLICATION of Cleo Energy Corp. ("**Cleo**") filed May 26, 2025 for an order approving the sale transaction (the "**Transaction**") contemplated by a purchase and sale agreement dated as of April 16, 2025, (the "**Sale Agreement**") between Cleo and Nuova Strada Ventures Ltd. (the "**Purchaser**") and vesting all of Cleo's right, title and interest in and to the assets described in the Sale Agreement (the "**Purchased Assets**");

AND UPON having read the Affidavit of Chris Lewis sworn May 26, 2025 (the "**Affidavit**"), the Affidavit of Service of Kym Mesley, sworn June 2, 2025, and the Sixth Report of Alvarez & Marsal Canada Inc. ("**A&M**") in its capacity as proposal trustee of Cleo (in such capacity, the "**Proposal Trustee**", and in its capacity as receiver of the undertaking, property and assets of Cleo, the "**Receiver**") dated May 28, 2025 and the confidential appendices thereto; **AND UPON** hearing submissions by counsel for Cleo, the Proposal Trustee, counsel for the Proposal Trustee and any other counsel or other interested parties present,

IT IS HEREBY ORDERED AND DECLARED THAT:

SERVICE

1. Service of notice of this application and supporting materials is hereby declared to be good and sufficient, no other person is required to have been served with notice of this application and time for service of this application is abridged to that actually given.

APPROVAL OF TRANSACTION

2. The Transaction is hereby approved and the execution of the Sale Agreement by Cleo is hereby authorized and approved, with such minor amendments as Cleo may deem necessary. Cleo is hereby authorized and directed to take such additional steps and execute such additional documents as may be necessary or desirable for completion of the Transaction and conveyance of the Purchased Assets to the Purchaser.

VESTING OF PROPERTY

3. Subject only to approval by the Alberta Energy Regulator ("**Energy Regulator**") of transfer of any applicable licenses, permits and approvals pursuant to section 24 of the *Oil and Gas Conservation Act* (Alberta) and section 18 of the *Pipeline Act* (Alberta), upon delivery by the Receiver of the closing certificate to the Purchaser substantially in the form set out in **Schedule "A"** hereto (the "**Closing Certificate**"), all of Cleo's right, title and interest in and to the Purchased Assets listed in **Schedule "B"** hereto shall vest absolutely in the name of the Purchaser, free and clear of and from any and all caveats, security interests, hypothecs, pledges, mortgages, liens, trusts or deemed trusts, reservations of ownership, royalties, options, rights of pre-emption, privileges, interests, assignments, actions, judgements, executions, levies, taxes, writs of enforcement, charges, or other claims, whether contractual, statutory, financial, monetary or otherwise, whether or not they have attached or been perfected, registered or filed and whether secured, unsecured or otherwise (collectively, "**Claims**") including, without limiting the generality of the foregoing:

   (a) the Administration Charge ("**Administration Charge**"), Interim Lender's Charge ("**Interim Lender's Charge**") and D&O Charge created pursuant to, and having the meanings given to them in, the Order (Stay Extension, Administration Charge, Interim Financing, Interim Financing Charge, D&O Charge and Other Relief) of the Honourable Justice M.J. Lema in these proceedings pronounced January 6, 2025, as amended by his Order (Stay Extension, Interim Financing, Interim Financing Charge and Other Relief) pronounced February 19, 2025;

   (b) any charges, security interests or claims evidenced by registrations pursuant to the *Personal Property Security Act* (Alberta) or any other personal property registry system;

(c) any liens or claims of lien under the *Builders' Lien Act* (Alberta); and

(d) those Claims listed in **Schedule "C"** hereto (all of which are collectively referred to as the "**Encumbrances**", which term shall not include the permitted encumbrances, caveats, interests, easements, and restrictive covenants listed in **Schedule "D"** (collectively, "**Permitted Encumbrances**"))

and for greater certainty, this Court orders that all Claims including Encumbrances other than Permitted Encumbrances, affecting or relating to the Purchased Assets are hereby expunged, discharged and terminated as against the Purchased Assets.

4. Upon delivery of the Closing Certificate, and upon filing of a certified copy of this Order, together with any applicable registration fees, all governmental authorities and or regulatory bodies including those referred to below in this paragraph (collectively, "**Governmental Authorities**") are hereby authorized, requested and directed to accept delivery of the Closing Certificate and certified copy of this Order as though they were originals and to register such transfers, interest authorizations, discharges and discharge statements of conveyance as may be required to convey to the Purchaser clear title to the Purchased Assets subject only to Permitted Encumbrances. Without limiting the foregoing:

(a) Alberta Energy ("**Energy Ministry**") shall and is hereby authorized, requested and directed to forthwith:

(i) cancel and discharge those Claims including builders' liens, security notices, assignments under section 426 (formerly section 177) of the *Bank Act* (Canada) and other Encumbrances (but excluding Permitted Encumbrances) registered (whether before or after the date of this Order) against the estate or interest of Cleo in and to any of the Purchased Assets located in the Province of Alberta; and

(ii) transfer all Crown leases listed in Schedule "B" to this Order standing in the name of Cleo to the Purchaser free and clear of all Claims including Encumbrances but excluding Permitted Encumbrances;

(b) the Registrar of the Alberta Personal Property Registry (the "**PPR Registrar**") shall and is hereby directed to forthwith cancel and discharge any registrations at the Alberta Personal Property Registry (whether made before or after the date of this Order) claiming security interests (other than Permitted Encumbrances) in the estate or interest of Cleo in any of the Purchased Assets which are of a kind prescribed by applicable regulations as serial-number goods.

5. In order to effect the transfers and discharges described above, this Court directs each of the Governmental Authorities to take such steps as are necessary to give effect to the terms of this Order and the Sale Agreement. Presentment of this Order and the Closing Certificate shall be the sole and sufficient authority for the Governmental Authorities to make and register transfers of title or interest and cancel and discharge registrations against any of the Purchased Assets of any Claims including Encumbrances but excluding Permitted Encumbrances.

6. No authorization, approval or other action by and no notice to or filing with any Governmental Authority exercising jurisdiction over the Purchased Assets is required for the due execution, delivery and performance of the Sale Agreement, other than any required approval by the Energy Regulator referenced in paragraph 3 above.

7. For the purposes of determining the nature and priority of Claims, net proceeds from sale of the Purchased Assets (to be held in an interest bearing trust account by the Proposal Trustee or the Receiver) shall stand in the place and stead of the Purchased Assets from and after delivery of the Closing Certificate and all Claims including Encumbrances (but excluding Permitted Encumbrances) shall not attach to, encumber or otherwise form a charge, security interest, lien, or other Claim against the Purchased Assets and may be asserted against the net proceeds from sale of the Purchased Assets with the same priority as they had with respect to the Purchased Assets immediately prior to the sale, as if the Purchased Assets had not been sold and remained in the possession or control of the person having that possession or control immediately prior to the sale. Unless otherwise ordered (whether before or after the date of this Order), the Proposal Trustee or the Receiver shall not make any distributions to creditors of net proceeds from sale of the Purchased Assets without further order of this Court, provided however the Proposal Trustee or the Receiver may apply any part of such net proceeds to pay amounts owing as secured by the Administration Charge and repay any amounts Cleo has borrowed as secured by the Interim Lender's Charge.

8. Except as expressly provided for by section 5 of the *Alberta Employment Standards Code*, the Purchaser shall not, by completion of the Transaction, have liability of any kind whatsoever in respect of any Claims against Cleo.

9. Upon completion of the Transaction, Cleo and all persons who claim by, through or under Cleo in respect of the Purchased Assets, and all persons or entities having any Claims of any kind whatsoever in respect of the Purchased Assets, save and except for persons entitled to the benefit of the Permitted Encumbrances, shall stand absolutely and forever barred, estopped and foreclosed from and permanently enjoined from pursuing, asserting or claiming any and all right, title, estate, interest, royalty, rental, equity of redemption or other Claim whatsoever in respect of or to the Purchased Assets, and to the extent that any such persons or entities remain in the possession or control of any of the Purchased Assets, or any artifacts, certificates,

instruments or other *indicia* of title representing or evidencing any right, title, estate, or interest in and to the Purchased Assets, they shall forthwith deliver possession thereof to the Purchaser.

10. The Purchaser shall be entitled to enter into and upon, hold and enjoy the Purchased Assets for its own use and benefit without any interference of or by Cleo, or any person claiming by, through or against Cleo.

11. Immediately upon closing of the Transaction, holders of Permitted Encumbrances shall have no claim whatsoever against Cleo.

MISCELLANEOUS MATTERS

12. Notwithstanding:

(a) the pendency of these proceedings and any declaration of insolvency made herein;

(b) the pendency of any applications for a bankruptcy order now or hereafter issued pursuant to the *Bankruptcy and Insolvency Act*, R.S.C. 1985, c.B-3, as amended (the "***BIA***"), in respect of Cleo, and any bankruptcy order issued pursuant to any such applications;

(c) any assignment in bankruptcy made in respect of Cleo; and

(d) the provisions of any federal or provincial statute:

the vesting of the Purchased Assets in the Purchaser pursuant to this Order shall be binding on any trustee in bankruptcy that may be appointed in respect of Cleo and shall not be void or voidable by creditors of Cleo, nor shall it constitute nor be deemed to be a transfer at undervalue, settlement, fraudulent preference, assignment, fraudulent conveyance, or other reviewable transaction under the *BIA* or any other applicable federal or provincial legislation, nor shall it constitute oppressive or unfairly prejudicial conduct pursuant to any applicable federal or provincial legislation.

13. Cleo, the Proposal Trustee, the Receiver, the Purchaser and any other interested party, shall be at liberty to apply for further advice, assistance and direction as may be necessary in order to give full force and effect to the terms of this Order and to assist and aid the parties in closing the Transaction.

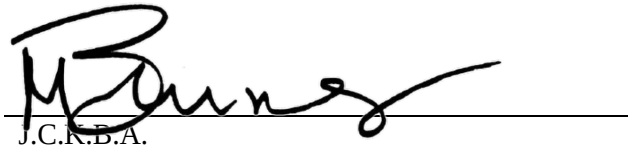
14. This Honourable Court hereby requests the aid and recognition of any court, tribunal, regulatory or administrative body having jurisdiction in Canada or in any of its provinces or territories or in any foreign jurisdiction, to act in aid of and to be complimentary to this Court in carrying out the terms of this Order, to give effect to this Order and to assist the Proposal Trustee and its agents in carrying out the terms of this Order. All courts, tribunals, regulatory and administrative bodies are hereby respectfully requested to make such order and to provide such assistance to the Proposal Trustee and the Receiver, as an officer

of the Court, as may be necessary or desirable to give effect to this Order or to assist the Proposal Trustee and its agents in carrying out the terms of this Order.

GENERAL

15. Service of this Order may be effected by facsimile, electronic mail, personal delivery or courier to the service list (the "**Service List**") in the proceedings. Service is deemed to be effected the next business day following transmission or delivery of this Order.

16. This Order shall be posted on the Proposal Trustee's website for these proceedings at: https://www.alvarezandmarsal.com/CLEO.



J.C.K.B.A.